

Ledgers

Q. Define ledgers.

⇒ The book in which all the transactions of a business concern are finally recorded in the concerned accounts in a summarized and classified form is called ledgers.

⇒ Stores bookkeeping entries.

⇒ Central repository where all financial transactions are recorded, organized and summarized. Also known as T-account.

Key components of ledgers

o Accounts

o Transactions

o Debits and credits

o Balances — difference between the total debits and credits.

Types of ledgers

o General

o Subsidiary

Purpose of ledgers

o Record keeping

o Analysis of things

o Financial statement preparation

Structure of ledgers

Dr		Cr		Account name	
Date	Detail	Date	Detail	Dr	Cr

⇒ Ledges are divided into Accounts. Accounts represent specific financial items like cash, accounts receivable, inventory, accounts payable, revenue, expenses, balance, etc. entry is made in ledgers.

Posting:

The process of transforming information, debits and credits, from journal to ledgers is known as posting.

Balancing:

The process of equalizing two sides of an account is known as balancing.

Debit balance:

⇒ if the debit side of an account is heavier, its balance is known as debit balance.

Credit balance:

⇒ if the credit side of an account is heavier, its balance is known as credit balance.

Zero balance:

⇒ if the two sides of an account are equal, that account will show zero balance. A zero balance account will not have any entry in the trial balance.

Stages of Accounting cycle:

⇒ Following stages are included in accounting cycle:

- Transaction → Journal → Ledger
- Trial balance → Final Accounts

Balance:

⇒ The difference between the two sides of an account is its balance.

Debtors ledger:

⇒ Contains the amount of all the customers to whom goods have been sold on credit.

Creditors ledger:

⇒ Contains the amounts of all the suppliers from whom goods have been purchased on credit.

Journal folio / Journal Reference:

⇒ The page number of the journal from where the transaction has been posted is mentioned in this column. This will help in locating the entry in the journal easily. It is used in ledgers.

Trial balance:

⇒ An informal accounting schedule or statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is called "trial balance".

⇒ it is like a financial checkup for a business. A trial balance only lists accounts with non-zero balance.

⇒ it is a bookkeeping worksheet in which the balances of all ledgers are compiled into debit and credit account column totals that are equal.

Also include transactions that affected the zero balance amounts.

Page #147

cash		A/c Payable	
Dx	Cx	Dx	Cx
Capital 60,000	Aircraft 45,000		
	Rent 2500		
	salaries 5880		
	repairing 1890		
	bal. 47330		
60,000	60,000		

Capital		Aircraft	
Dx	Cx	Dx	Cx
60,000		45,000	

Rent		A/c Rec.		Coop Services	
Dx	Cx	Dx	Cx	Dx	Cx
2500		8320			8320

Salaries		Repairing	
Dx	Cx	Dx	Cx
5880		1890	

Page #149

cash	
Dx	Cx
12,000	1700
400	7200
600	1000
25	1,000
2100	975
	1,000
15125	300 bal. 1950
15125	15125

Capital		office Rent	
Dx	Cx	Dx	Cx
	12000	1700	

office equipment		medical instrument	
Dx	Cx	Dx	Cx
7200		9,000	

Note Payable		Emergency services	
Dx	Cx	Dx	Cx
	640		4005
bal. 8640	8000		
8640	8640		

utilities	
Dx	Cx
300	

A/c Receivable

Dx Cx

1,000
1,900
35

~~1,900~~

2935

bal 2935

2935

Fee earned

Dx Cx

bal. 5680

5660

Drawing

Dx Cx

975

Salary

1000

1000

2000

bal. 2000

2000

medical supplies

Dx Cx

640

Page #155 (Not confirm correct or not)

Cash

Dx

Cx

40,000

4850

18350

87,000

130,000

200,000

24,000

13250

17,400

5000

bal.

4000

56550

450200

450200

Land

Cx

Dx

Cx

4000

170000

Capital

Building

Dx

360,000

Trunk

Dx

432000

Note Payable

Dx

Cx

2000

400,000

232,000

17,500

bal. 648750

1250

650750

650750

office equipment

Dx

Cx

24000

A/c Rec

Dx

Cx

3800

14000

bal. 14800

14800

Salaries

Dx

Cx

13250

17400

bal. 30650

30650

30650

Service

Dx

Cx

8650

32350

27000

bal. 68000

68000

68000

Interest

Dx

Cx

3000

Drawing

Dx

Cx

1000

Repairs

Dx

Cx

1250

Bill

Dx

Cx

17500

Post-Paper Questions

2019-CS

Q. Clown Around, INC

Trial Balance

1-Feb-05

	\$	\$
Cash	2850	
A/c Rec.	900	
A/c Payable		800
Capital stock		2000
Retained earnings		750
Dividends	0	
Party revenue		1350
Salaries expense	830	
Party food expense	240	
Travel expense	80	
	<u>4900</u>	<u>4900</u>

Clown Around engaged in the following transactions feb:

Feb 2 Paid \$750 in partial settlement of the outstanding account payable reported in the trial balance dated Feb 1.

Feb 6 Collected \$900 in full settlement of the outstanding accounts receivable reported in the trial balance dated 1.

Feb 18 Billed sunflower child care \$175 for clown services. The entire amount is due march 15.

Feb 26 Billed and collected \$480 for performing at several birthday parties.

Feb 28 Paid clown salaries of \$260 for work done in Feb.

Feb 28 Declared and paid a \$100 dividend to Raoph, Jacob, the company's only shareholder.

Journal

Date	Detail	Dr \$	Cr \$
Feb 02	A/c payable	750	
	cash		750
Feb 6	Cash	900	
	A/c Rec.		900
Feb 18	A/c Rec.	175	
	Party Revenue		175
Feb 26	Cash	480	
	Party Revenue		480

feb 28	salaries	260	
	cash		260
feb 28	dividend	100	
	cash		100

Ledgers

A/C Payable		salaries	
Dr	Cr	Dr	Cr
	open bal 800	260	
750		830	
close bal 50			close bal 100
800	800	1090	1090

Cash		A/C Rec	
Dr	Cr	Dr	Cr
2850	750	900	
900	260	175	
480	100		
	bal. 3120		bal. 175
4230	4230	1075	1075

Partly Revenue		Dividend	
Dr	Cr	Dr	Cr
	1350	100	
	175		
	480		
bal. 2005			
2005	2005		

Trial balance

Sr. No	Details	Dr \$	Cr \$
1.	Cash	3120	
2	A/C Payable		50
3	A/C Rec.	175	
4	Dividend	100	
5	Partly Revenue		2005
6	Salaries	1090	
7	Capital stock		2000
8	Retained earnings		750
9	Partly food expense	240	
10	Travel expense	80	
		4805	4805

Post-Paper (2019 MIT)

Q.2

June 1 The corporation issued 60,000 shares of capital stock by Wendy Wingers in exchange for \$60,000 cash.

June 2 Purchased a plane from utility Aircraft for 2,24,000. Made a \$40,000 cash down payment and issued a note payable for the remaining balance.

June 4 Paid Woodrow Airport \$2,500 to rent office and hanger space for the month.

June 15 Billed customers \$8320 for aerial photographs taken during the first half of June.

June 18 Paid Hannigan's Hanger \$1,890 for maintenance and repair services on the company plane.

June 25 Collected \$4910 of the amounts billed to customers on June 15.

June 30 Billed customers 16450 for aerial photographs taken during the second half month.

June 30 Received a \$2,510 bill from Peatree Petroleum for aircraft fuel purchased in June, the entire amount is due July 10.

June 30 Declared a \$2,000 dividend payable on July 15.

Journal

Date	Detail	Dr \$	Cr \$
June 1	Cash	60,000	
	Common stock		60,000
	Plane	2,20,000	
2	cash		40,000
	Note Payable		180,000
	Rent	2500	
4	Cash		2500
	A/C Rec.	8320	
15	Services		8320
	Salaries	5880	
15	Cash		5880
	Repairs & Maintenance	1890	
18	Cash		1890
	Cash	4910	
25	A/C Rec.		4910
	A/C Rec.	16450	
30	Services		16450
	Bill	2510	
30	Note payable		2510
	Dividend	2,000	
30	Dividend payable		2,000

Ledgers

Cash

60,000	40,000
4910	2500
	5880
	1890
	bal. 14640
64910	64910

Common stock

60,000

Salaries

5880

Rent

2500

Bill

2510

Repairs & maint

1890

Note payable

Dividend payable

	180,000
	2510
bal. 182510	
182510	182510

2000

Plane

220,000

Dividend

2000

A/c Rec

8320

16450

490

bal. 19860

Services

8320

16450

bal. 24770

24770

24770

Trial Balance

Sb. No	Detail	Dr \$	Cr \$
1	Cash	14640	
2	Common stock		60,000
3	Note payable		182510
4	Rent	2500	
5	A/c Rec	19860	
6	Services		24770
7	Salaries	5880	
8	Repairs & maintenance	1890	
9	Bill	2510	
10	Dividend	2000	
11	Dividend payable		2000
12	Plane	2,20,000	
		269280	269280

Past - Paper 2020 CS

Jan 20 Issued 5,000 shares of capital stock for 50,000

Jan 20 Paid \$400 office rent for the remainder of January.

Jan 21 Purchased office supplies for \$200. The supplies will last for several months, & payment is not due until Feb.

Jan 22 Purchased office equipment

Jan 26 Performed consulting services and billed clients \$2,000. The entire amount will not be collected until Feb.
 Jan 31. Recorded \$100 utilities expense. payment is not due until Feb 20.

Date	Detail	Dr \$	Cr \$
20	Cash	5,000	
	Capital stock		5,000
20	Office Rent	400	
	Cash		400
21	Office supplies	200	
	Note payable		200
22	Office equipment	15,000	
	Cash		15,000
26	A/c Rec.	2,000	
	Consulting Revenue		2,000
	utilities	100	
31	Note payable		100

Ledgers

cash		Office Rent	
50,000	400	400	
	15,000		
	bal. 34,600	Capital stock	
50,000	50,000		50,000
Office supplies		Office equipment	
200		15,000	
A/c Rec.		Consulting Revenue	
2,000			2,000
utilities		Note payable	
100			200
	bal. 300		100
	300		300

Trial balance

SB No	Detail	Dr \$	Cr \$
1	Cash	34,600	
2	Capital stock		50,000
3	Office Rent	400	
4	Office supplies	200	
5	Office equipment	15,000	
6	A/c Rec.	2,000	

7	Consulting Revenue		2,000
8	Utilities	100	
9	Note Payable		300
		52300	52300

Past Papers 2020 MIT

Date	Detail	Dr \$	Cr \$
Feb 1	Cash	750,000	
	Capital stock		750,000
5	Cash	50,000	
	Note Payable		50,000
	Land	100,000	
8	Building	450,000	
	Office equipment	50,000	
	Cash		300,000
	Note payable		300,000
11	Office supplies	600	
	Note Payable		600
14	Advertisement	400	
	Cash		400
20	Note payable	100	
	Cash		100
22	Cash	400	
	Consulting service		400

24	A/c Rec.	9000	
	Services		9000
25	Salaries	5,000	
	Cash		5,000
28	Note Payable	500	
	Cash		500

Ledgers

Cash		Note Payable	
750,000	300,000	500	50,000
6,000	400	100	300,000
50,000	500		600
	5000	bal. 350,000	
	bal. 806,000	350,600	350,600
806,000	806,000		

Capital stock	Office supplies
750,000	600
Office equipment	Land
50,000	100,000
Building	
450,000	

Cash	Consulting services
400	6000
Services	A/c Rec.
9000	9000
Salaries	
5000	

Trial & Balance

Sr. No	Detail	Dr \$	Cr \$
1	Capital stock		750,000
2	office supplies	600	
3	office equipment	50,000	
4	Land	100,000	
5	Building	450,000	
6	Cartidge Returns		100
7	Alc Rec.	9000	
8	Salaries	5000	
9	Consulting services		6000
10	Services		9000
11	Note payable		35000
12	Cash	500100	
13	Advertisement	400	
		115100	115100

Page 90:

Journal

Date	Detail	Dr \$	Cr \$
	Cash	40,000	
	Capital		40,000
	Adjacent vacant	98,500	
	Cash		28,500
3	Note payable		70,000
	Cash	4500	
12	Alc Receivable		4500
	Office equipment	7600	
17	Cash		7600
21	Alc payable	764	
	Cash		764
28	Cash	25,000	
	Alc payable		25,000

Page 91: 2

Date	Details	Dr \$	Cr \$
Jan 4	Sea Planes	790,000	
	Cash		390,000
	Note payable		40,000

8	Space parts	17,600	
	Note payable		17,600
12	Land	300,000	
	floating Hanger		300,000
	Note payable		500,000
	Note payable	4300	
	Space parts return		4300
2	Note payable	13300	
	Space parts		13300
	Cash		

Page #93:

Date	Detail	Dr \$	Cr \$
Sep 1	Cash	32,000	
	Capital		32,000
10	Land	48,000	
	Building	43,200	
	Cash		182,400
	Note payable		72,960
15	MicroComputer	4680	
	Cash		4680
28	A/C Payable	1080	
	Cash		1080

Page #95:

Date	Detail	Dr \$	Cr \$
Oct 2	Cash	35,000	
	Capital		35,000
	Land	64,000	
6	Building	34,500	
	Cash		29,500
	Note payable		69,000
15	A/C Rec.	16,000	
	Land sale		
	No entry		

20	office equipment	5280	
	Note payable		5280
30	Note payable	3440	
	cash		3440
	Cash A/c Rec.		
31	A/c Rec.	3,200	3,200

page 96:

Date	Detail	Dr \$	Cr \$
Mar 1	Cash	1,40,000	
	Capital		1,40,000
3	Land	720,000	
	Building	48,000	
	cash		768,000
	Note payable		41,500
	Automobiles Purchase	172,000	
	cash		40,000
	Note payable		132,000
	Cash	2400	
	A/c Rec.	6200	
	Automobile sale		8600

note payable 8600
purchase return 8600

20	office equipment	4000	
	cash		4000
31	Note payable	32,000	
	cash		32,000

page 97

Date	detail	Dr \$	Cr \$
May 7	Cash	36,000	
	Capital		36,000
	Land	50,000	
16	Building	45,400	
	cash		21,000
	Note payable		74400
19	office furniture	2340	
	Note payable		2340
22	medical supplies	1630	
	cash		1630
23	A/c Rec.	225	
	Dental lab return		225
30	A/c payable	1170	
	cash		1170
31	cash	225	
	A/c Rec.		225